

Tesla, Inc.
TSLA NASDAQ

Hold	\$380.44 ▲ 0.45%	12M Price Target \$420.00	52-Week Range \$297.38 – \$498.83	Market Cap \$1.50T
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TSLA: Grinding Higher as EV Credit Fight Looms

WHAT HAPPENED

- TSLA is up ~7% over the last four sessions on light news flow — the move looks technical/momentum-driven, with the stock reclaiming \$380 after basing around \$354. Volume today is unusually thin (~20M vs 40M+ recently), so this last leg is a drift higher, not conviction buying.
- Options desks are leaning bullish — Put/Call ratio of 0.56 (meaning traders are buying almost 2 calls for every put) and massive unusual call buying at the \$380-\$382.50 strikes expiring this month. Someone is betting on a near-term pop, likely into Q3 deliveries (which Tesla just reported) and the Oct 22 earnings print.

WHY IT MATTERS

Here's the big picture: TSLA is sitting at 41% of its 52-week range, meaning it's closer to the lows than the highs despite a market cap over \$1.5 trillion. That tells me the market is wrestling with two conflicting narratives — the robotaxi/AI/Optimus moonshot story (which is why it still trades at ~130x forward earnings) versus the reality that the \$7,500 federal EV tax credit expired September 30, which will likely dent US demand in Q4. The unusual call buying into October expiry suggests traders think earnings or a Musk catalyst (robotaxi expansion, FSD update) saves the quarter — but if deliveries disappoint, this stock has air underneath it down to \$340. Watch the CFO's September sale too — not alarming in size, but insiders aren't buying this rally.

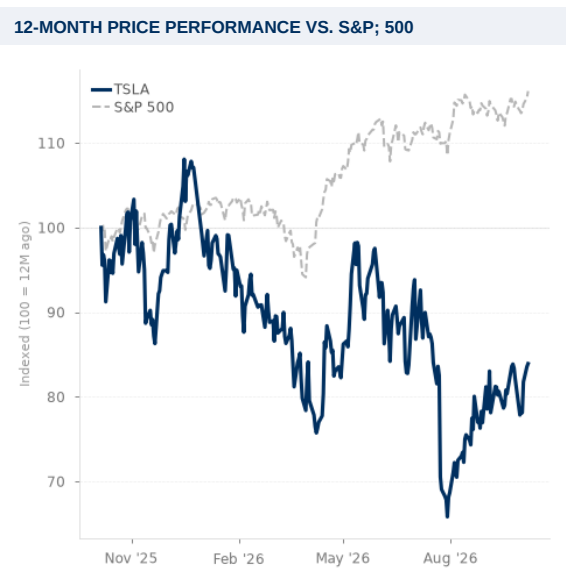
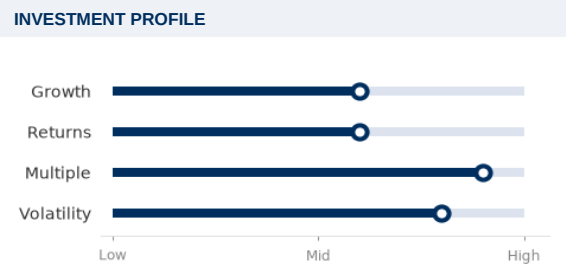
POLICY & POLITICAL WATCH

The elephant in the room: the federal EV tax credit (\$7,500 for new, \$4,000 for used) officially sunset on September 30 under the One Big Beautiful Bill Act. Counterintuitively, this might hurt competitors more than Tesla — TSLA has better margins and can absorb price cuts, while GM, Ford, and Rivian get squeezed harder. The second policy wildcard is tariffs: Chinese battery and component tariffs continue to pressure costs industry-wide, but Tesla's Shanghai gigafactory and increasingly localized US supply chain give it relative insulation. Also watch NHTSA — any adverse ruling on FSD or robotaxi operations in Austin/California would hit the stock harder than any earnings miss.

IS IT EXPENSIVE?

At \$380, you're paying roughly 130x next year's expected earnings — meaning investors are shelling out \$130 for every \$1 of profit Tesla is expected to make. For context, Toyota trades around 10x and even Nvidia is cheaper on this metric. That premium is 100% a bet on robotaxi, Optimus (the humanoid robot), and FSD becoming massive revenue streams — if those don't materialize on schedule, the stock has to grow into a much lower multiple, which is painful.

Key Data	
Price (USD)	\$380.44
12M Price Target	\$420.00
Upside / (Downside)	+10.4%
Market Cap	\$1.50T
FY2026E Revenue	\$112M
FY2027E Revenue	\$135M
FY2026E EPS	\$2.85
FY2027E EPS	\$3.90
Fwd P/E	133.5x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$410.00	\$385.00	\$350.00
6 Months	\$475.00	\$400.00	\$310.00
1 Year	\$550.00	\$420.00	\$280.00
2 Years	\$700.00	\$480.00	\$240.00
5 Years	\$1000.00	\$600.00	\$200.00
10 Years	\$1500.00	\$800.00	\$180.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Utilities (+2.24%) and Energy (+3.90% over 5 days) are ripping — that's an AI power demand story, as data centers need massive electricity. Industrials and Materials are also bid, suggesting the market smells reflation or infrastructure spending.

COOLING OFF: Real Estate is barely positive and lagging on a 5-day basis — rates staying higher for longer is the headwind.

ROTATION WATCH: Money is rotating into "picks and shovels" of the AI buildout — power, grid, and industrial names — rather than the headline AI stocks themselves. Tesla sits awkwardly between consumer discretionary (where it's classified) and tech/AI, which is why it's not getting the full tailwind.

RELATED PLAY: If you believe the AI power thesis, utilities like VST, CEG, and NEE are directly benefiting. For an EV-adjacent play, charging infrastructure names (CHPT, EVGO) could rip if the next admin preserves charging subsidies even without the vehicle credit.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the king of AI compute — every robotaxi and Optimus demo in the industry runs on their chips, making them a backdoor Tesla trade without the car business risk.
- GEV (GE Vernova): Grid and power infrastructure — benefits from both AI data center demand and EV charging buildout.

TSLA CONTEXT: Tesla is lagging the pure AI plays and the utility trade — it's up only ~0.5% today while Utilities are up over 2%. That tells me the market still treats TSLA primarily as a car company for pricing purposes, and the AI optionality only kicks in with specific catalysts (robotaxi news, FSD milestones). Translation: don't expect TSLA to just drift up with the AI tide — it needs its own catalyst.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — Interesting setup into earnings but the valuation leaves zero margin for error, and the EV credit sunset is a known headwind that still has to show up in numbers.

POSITION SIZE: 2-4% of portfolio — this is a high-volatility name where position sizing matters more than entry price. Don't let it become 10% of your portfolio even if it rips.

ENTRY POINTS: I'd rather buy the \$340-355 zone where it just based than chase here at \$380. If earnings disappoint and it flushes to \$320s, that's where you back up the truck.

TIME HORIZON: 12-24 months — the real catalyst is 2027 robotaxi scaling and the Optimus commercialization timeline. Everything shorter is just trading noise.

WHEN TO BAIL: Auto gross margin drops below 15%, robotaxi expansion gets paused by regulators, or Musk's comp package creates a governance mess that spooks institutions.

HEDGING: Simple approach — buy a put option 10% below current price expiring after earnings. Think of it as insurance: you pay a small premium so that if the stock drops 20% on bad news, your downside is capped.